

3.2.4 Macroeconomic Policy

Fiscal Policy

Candidates should understand that fiscal policy can have both macroeconomic and microeconomic functions. They should be able to explain how it could be used to influence aggregate demand and aggregate supply, and also how government spending and taxation can affect the pattern of economic activity.

Monetary Policy

Candidates should know that monetary policy can involve the use of interest rates, the money supply and exchange rates. They should understand how the Monetary Policy Committee (MPC) of the Bank of England uses interest rates to achieve the government's target rate of inflation.

There should be an understanding that changes in the exchange rate can affect the prices of exports and imports, the level of domestic economic activity, as well as the balance of payments on current account.

*Note: candidates do **not** need to know about how interest rates and exchange rates are determined. These topics are included in Unit 4.*

Supply-side Policies

Candidates should understand how supply-side policies, such as tax changes designed to change personal incentives, may increase the potential output of the economy and improve the underlying trend rate of economic growth. They should appreciate how supply-side policies also affect the level of unemployment, the rate of change of prices, and UK external performance as reflected in the balance of payments on current account. Supply-side policies need to be linked to the relevant parts of sections 3.2.2 and 3.2.3.

Candidates should recognise that supply-side improvements in the economy need not necessarily rely on government policy initiatives, but may originate in the business sector independently of government, e.g. productivity improvements, innovation and investment.
